MODEL QUESTION PAPER

TED (15) 4141 Reg. No. ....

(REVISION – 2015) Signature ....

FOURTH SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE

ACCOUNTANCY – IV

Time : 3 Hours

(Maximum Marks : 100)

PART – A

(Maximum Marks : 10)

Marks

I Answer the following questions in one or two sentences. Each question carries 2 marks.

1. What is a current account?
2. State the meaning of dissolution.
3. Mention two rights of an ongoing partner.
4. State the term pro-rata allotment.
5. Distinguish between profit and loss account and profit and loss appropriation account.

(5 x 2 = 10)

PART – B

(Maximum Marks : 30)

II Answer **any *five*** questions from the following. Each question carries 6 marks.

1. Distinguish between fixed and fluctuating capital methods.
2. Explain various reasons for dissolution of partnership.
3. Explain the conditions of issue of shares at discount.
4. Write short notes on:

   (a) Interim dividend (b) Proposed dividend
5. Give an imaginary form of profit and loss appropriation account of a limited company.
6. Profits of a partnership firm for the last five years were:

   2004–Rs.35,000; 2003–Rs.30,000; 2002–Rs.27,500; 2001–Rs.25,000; 2000–Rs.20,000

   The capital employed in the firm is Rs.5,00,000. You are required to calculate the goodwill at 3 years purchase of super profits. The normal rate of return on capital employed is 5%.
7. What entry would you pass for the following transactions on the dissolution of a firm having partners A and B:

   (i) An unrecorded asset realized Rs.6,200.

   (ii) Dissolution expenses amounted to rs.3,200.

(iii) Creditors already transferred to realization account were paid Rs.88,000.

(iv) Stock worth Rs.5,400 already transferred to realization account was sold for Rs.4,100.

(v) Profit on realization Rs.48,000 to be distributed between partners, A and B.

(5 x 6 = 30)

PART – C

(Maximum Marks : 60)

(Answer ***one full question*** from each unit. Each full question carries 15 marks)

MODULE – I

III On 1st January 2015 Santha and Sabitha started partnership business by contributing capitals of Rs.50,000 and Rs.60,000 respectively. They share profits in the ratio of 2:3. Santha is entitled to a salary of Rs.12,000 per annum. Interest on capital allowed is at 6% p.a. Sabitha is entitled to a commission of Rs.3,000. During the year Santha withdrew Rs.3,000 and Sabitha Rs.2,000. Interest on drawings charged is Rs.100 and Rs.150 respectively. Profit in the year before making the adjustments was Rs.25,000.

Pass necessary journal entries, prepare profit and loss appropriation account and partners capital accounts.

15

OR

IV X and Y are partners sharing profits and losses in the ratio of 2:1. Their balance sheet as on 31st December 2014 was as follows:

Balance sheet as on 31st December 2014

Liabilities	Rs	Assets	Rs
Sundry Creditors	45,000	Cash in hand	4,000
Bills payable	5,000	Cash at bank	11,000
Capital		Stock in trade	35,000
X – 50,000		Plant and Machinery	25,000
Y – 25,000	75,000	Land and Building	50,000
	1,25,000		1,25,000

Z is admitted into partnership on the balance sheet date on the basis of the following:

1. Z will bring Rs.50,000 as his capital.
2. Stock in trade should be decreased by Rs.5,000.

3. Plant and Machinery should be increased to Rs.35,000 and Land and Buildings should be appreciated by 10%.
4. Bills payable and Creditors be decreased by 5% and 10% respectively.

Record necessary journal entries, prepare revaluation account and partners capital account and also prepare the balance sheet after Z's admission.

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MODULE – II

V Aravind, Ravi and Sasi are partners sharing profits and losses in the ratio of 2:2:1. Their balance sheet as on 31st December. 2004 was as follows:

Liabilities	Rs	Assets	Rs
Sundry creditors	45,000	Cash at bank	10,000
Capital accounts:		Sundry debtors	25,000
Aravind – 15,000		Stock	40,000
Ravi – 25,000		Plant and machinery	40,000
Sasi – 30,000	70,000		
	1,15,000		1,15,000

Aravind died on 30th april. 2005 and the partnership deed provides that in the event of death of a partner, his executor should be entitled to:

1. His capital on the date of previous balance sheet.
2. His proportion of reserve on the date of last balance sheet.
3. His proportion of profit to the date of death on the basis of previous year's profit.
4. His share of goodwill calculated on the basis of 3 years' purchase of the average profits of the past four years.

The profits of the firm for the past four years were: 2001–Rs.22,000; 2002- Rs.21,000; 2003– Rs.19,000 and 2004–Rs.18,000.

You are required to ascertain the amount payable to the executers of the deceased partner.

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OR

VI D, E and F were carrying on business in partnership sharing profits and losses in the ratio of 4:3:2. On 31st December 2004 they decided to dissolve the firm. Their balance sheet on the above date stood as follows:

Liabilities	Rs	Assets	Rs
Creditors	9,000	Cash	4,600
Reserve	3,600	Debtors	7,500
Capitals:		Stock	12,000
D – 14,000		Plant and Machinery	24,500
E – 12,000			
F – 10,000	36,000		
	48,600		48,600

E took over Plant and Machinery at an agreed value of Rs.25,000 and other assets realized as follows:

Debtors - Rs.6,500 and stock – 9,500. Expenses of dissolution come to Rs.600. There was a liability in respect of an outstanding repair bill of Rs.700.

Prepare ledger accounts and close the books of the firm.

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MODULE – III

VII Azad Co. Ltd., having a nominal capital of Rs.3,00,000 divided into 30,000 equity shares of Rs.10 each invited applications for 15,000 shares payable as follows:

On application	Rs.2
On allotment	Rs.3
On first call	Rs.2
On final call	Rs.3

The company received applications for 12,000 shares. All applications were accepted. All money due as stated above was received with the exception of the final call on 300 shares. These shares were forfeited and re-issued as fully paid at Rs.8 per share. Draft journal entries and prepare ledger accounts.

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OR

VIII (a) What is over subscription? How is it treated? 8

(b) Explain the treatments of premium received on issue of shares. 7

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MODULE – IV

IX MN Industries Ltd., was registered with a nominal capital of Rs.6,00,000 in equity shares of Rs.10 each. The following is the list of balances extracted from its books on 31st December 2006:

	Rs.
Calls in arrears	7.300
Premises	3,00,000
Plant and Machinery	3,25,000
Interim dividend paid on 1-7-2006	36,000
Stock on 1-1-2006	70,000
Furniture and Fixtures	7,500
Sundry debtors	88,000
Goodwill	25,000
Cash in hand	4,300
Cash at bank	38,800
Purchases	1,90,000
Preliminary expenses	6,000
Wages	85,600
General expenses	16,800
Freight and carriage	13,300
Salaries	15,400
Directors' fee	5,800
Bad debts	2,100
Debenture interest paid	9,000
Subscribed and fully paid up capital	4,00,000
6% Debentures	3,00,000
Profit & Loss account (Cr. Balance)	15,400
Bills payable	36,000
Sundry creditors	50,000
Sales	4,17,000
General Reserve	24,000
Bad debts provision on 1-1-2006	3,500

Prepare Trading and Profit and Loss account and Balance sheet in proper form after making the following adjustments:

1. Depreciate Plant and Machinery by 10%
2. Write off Rs.1,000 from preliminary expenses
3. Provide half year's debenture interest due
4. Leave bad and doubtful debts provision at 5% on sundry debtors
5. Stock on 31st December, 2006 was Rs.92,000 15

OR

X Draw up a proforma Balance sheet as per Companies Act, both in horizontal and vertical form. 15

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